

IEOS

Fiscal Federalism, Finance Commission and Centre-State Financial Relations

1-2 questions a paper, and rising - the Finance Commission came up three separate times in RAS Pre 2024. The 16th Finance Commission's award period begins on 1 April 2026, which makes it a near-certain current-affairs hook for the December 2026 paper. Learn Articles 268 to 281 as a table and the two devolution formulas as numbers.

Who collects the money, who spends it, and how the gap between the two is bridged. Fiscal federalism is named in the RAS syllabus in so many words, and most candidates under-prepare it. RPSC asked the Finance Commission's composition, its functions and the 15th FC's 41 per cent devolution in the 2024 paper alone.

Fiscal Federalism

The problem

- Centre collects the elastic taxes
- States carry the spending burden
- Vertical imbalance and horizontal imbalance

15th FC (2021-26)

- N.K. Singh, devolution 41%
- Income distance 45%
- Revenue deficit grants, 17 States
- State fiscal deficit glide path

Articles 268-282

- 268 levied by Union, collected by States
- 269 assigned taxes, 269A IGST
- 270 divisible pool, 271 surcharge
- 275 statutory grants, 282 discretionary grants

16th FC (2026-31)

- Arvind Panagariya
- Share retained at 41%
- New criterion - contribution to GDP
- Revenue deficit grants discontinued

Finance Commission

- Art 280 - every fifth year
- Chairman + four other members
- Advisory; laid before Parliament (Art 281)
- Qualifications under the 1951 Act

Other channels

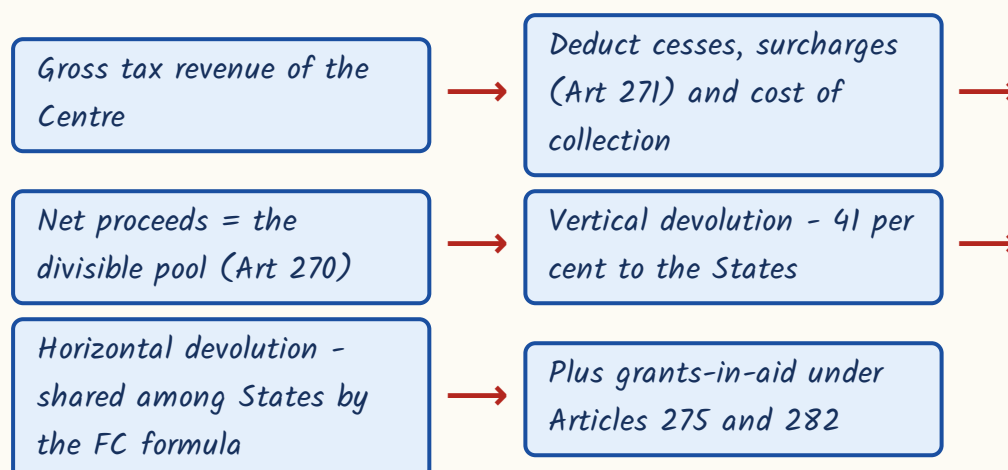
- Grants-in-aid, Art 275 and 282
- Centrally sponsored vs central sector
- GST Council and compensation
- State borrowing under Art 293

What fiscal federalism actually means

India's Constitution hands the elastic, high-yield taxes to the Centre and hands the heavy day-to-day spending responsibilities to the States. Health, agriculture, police, school education, irrigation - all overwhelmingly State subjects. Income tax, corporation tax, customs - all Union. So the Centre collects more than it needs to spend, and the States spend more than they collect. Fiscal federalism is the set of arrangements that moves money from the first to the second.

- Vertical imbalance - the mismatch between the Centre and the States as a whole; corrected by tax devolution.
- Horizontal imbalance - the mismatch among States; corrected by the horizontal formula and by grants.
- States account for roughly 60 per cent of general government expenditure but a much smaller share of collection - that is the whole reason the Finance Commission exists.
- Three channels of transfer: share in central taxes, grants-in-aid, and loans.

How a rupee of central tax reaches a State



ASKED IN RAS

Asked in RAS Pre 2024 - which of these are excluded from the divisible pool? Answer: surcharges, cesses AND the cost of collection - all three. This is exactly why States complain when the Centre raises revenue through a cess rather than through basic duty. A repeat-risk question; do not tick only two.

Articles 268 to 282 - the constitutional plumbing

This is a pure memory block and it is worth the memory, because RPSC's favourite format here is Article-to-subject matching. Learn it in two halves - the tax-sharing Articles first, then the grants and machinery Articles. One Article needs a second look: Article 272 no longer exists. The 80th Amendment of 2000, acting on the Tenth Finance Commission's alternative devolution scheme, repealed it and pooled all central taxes into a single divisible pool. Before that, income tax and Union excise were shared under separate Articles.

Part I - who levies, who collects, who keeps

Article	Subject
268	Duties levied by the Union but collected and appropriated by the States (stamp duties in the Union List)
269	Taxes on inter-State sale and consignment - levied and collected by the Union, assigned to the States
269A	IGST on inter-State supply - levied and collected by the Government of India, apportioned between Union and States
270	Taxes levied and distributed between the Union and the States - the divisible pool
271	Surcharge on taxes and duties for Union purposes - NOT shared with the States
272	Repealed by the 80th Amendment, 2000, which created the single divisible pool
273	Grants in lieu of export duty on jute and jute products - Assam, Bihar, Odisha, West Bengal

Article	Subject
274	Prior recommendation of the President for Bills affecting State taxation interests

Part 2 – grants, ceilings and machinery

Article	Subject
275	Statutory grants-in-aid to needy States, charged on the Consolidated Fund of India; includes grants for Scheduled Tribes and Scheduled Areas
276	Taxes on professions, trades, callings and employments - ceiling Rs 2,500 per person per year
277	Savings for pre-Constitution taxes being levied by States
279	'Net proceeds' ascertained and certified by the CAG - the certificate is final
279A	Goods and Services Tax Council
280	Finance Commission
281	Recommendations of the Finance Commission laid before each House of Parliament
282	Discretionary grants by the Union or a State for any public purpose

- Article 275 grants are STATUTORY and charged on the Consolidated Fund - a right, not a favour.
- Article 282 grants are DISCRETIONARY - the constitutional peg on which centrally sponsored schemes on State List subjects hang.
- Article 292 - borrowing by the Union. Article 293 - borrowing by the States. Article 360 - Financial Emergency.
- Remember the pair: 275 = Statutory, 282 = scheme grants at the Union's discretion.
- The professional tax ceiling of Rs 2,500 a year under Article 276 has been asked as a straight one-liner.

The Finance Commission - Article 280

The Finance Commission is a constitutional body, appointed by the President, whose job is to decide how the money is split. It is quasi-judicial in character and its recommendations are advisory - the government is not bound by them. In practice the tax devolution recommendation has always been accepted; grants sometimes are not.

ASKED IN RAS

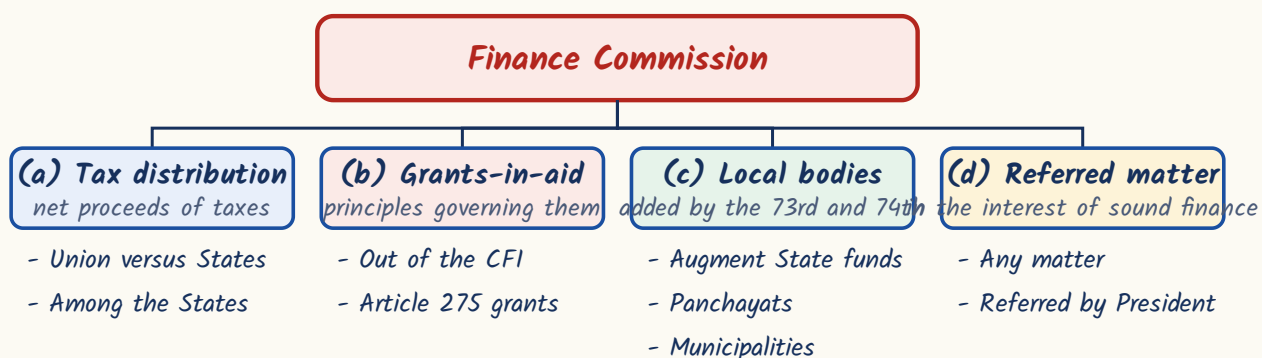
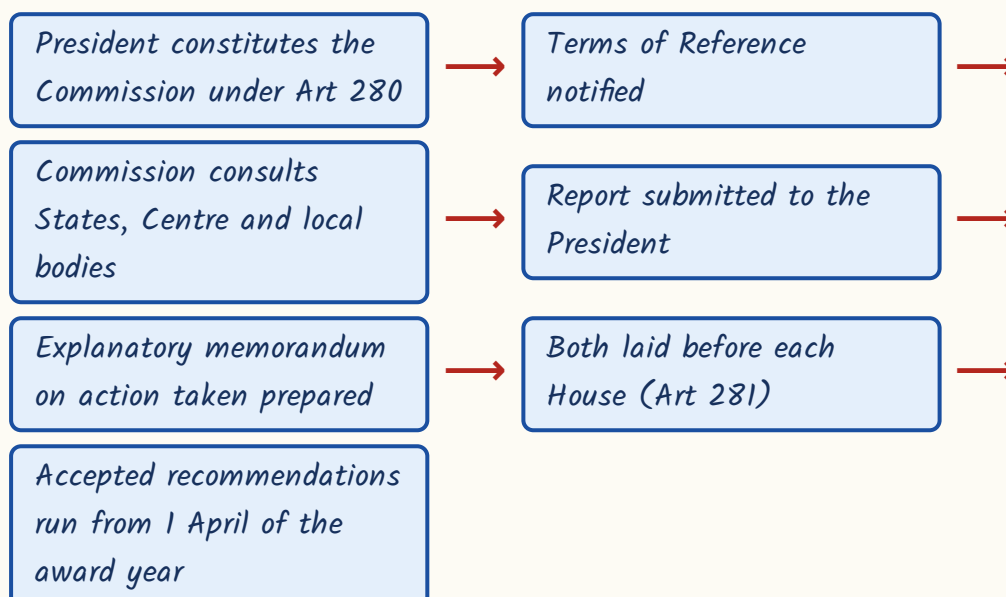
Asked in RAS Pre 2024 - the Finance Commission consists of? Answer: a Chairman and four other members. Not five members, not a Chairman and five members. Learn the exact phrasing.

Finance Commission - the essentials

Element	Detail
Article	280
Appointed by	The President
When	Every fifth year, or earlier if the President considers it necessary
Composition	A Chairman and four other members
Qualifications	Determined by Parliament - Finance Commission (Miscellaneous Provisions) Act, 1951
Status	Advisory; report plus an explanatory memorandum on action taken is laid before each House (Art 281)

ASKED IN RAS

Asked in RAS Pre 2024 - which of the following are functions of the Finance Commission? The four duties under Article 280(3) are: (a) distribution of the net proceeds of taxes between Union and States and among the States; (b) the principles governing grants-in-aid out of the Consolidated Fund of India; (c) measures to augment a State's Consolidated Fund to supplement the resources of Panchayats and Municipalities; (d) any other matter referred by the President. The paper tests whether you know the local-body clause belongs to the FC too.

The four duties under Article 280(3)**Life-cycle of a Finance Commission report**

TRAP

Article 279 is 'net proceeds certified by the CAG'. Article 280 is the Finance Commission. Article 281 is the laying before Parliament. Candidates routinely mark 279 for the Finance Commission - do not. Clause (c) of 280(3) came in with the 73rd and 74th Amendments.

The Finance Commissions in sequence - names and shares

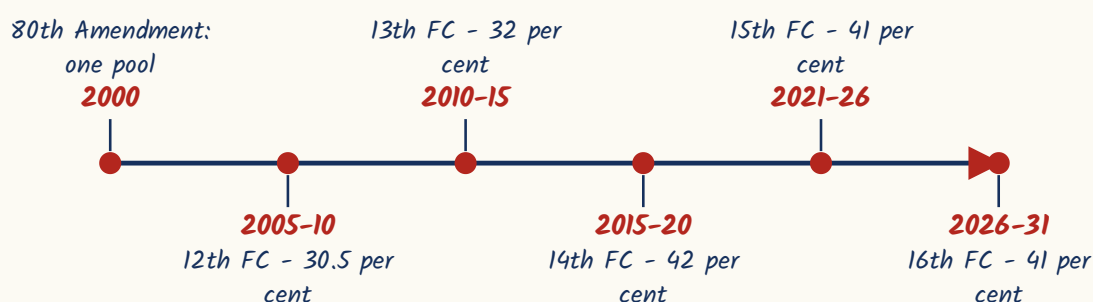
Two things get asked from this history: the chairman-to-commission matching, and the devolution percentage each one recommended. Learn the recent ones first - Twelfth onwards - because that is where the questions cluster.

Finance Commissions - chairman and devolution share

Commission	Chairman	Share of States in the divisible pool
First (1952-57)	K.C. Neogy	-
Second	K. Santhanam	-
Third	A.K. Chanda	-
Twelfth (2005-10)	C. Rangarajan	30.5 per cent
Thirteenth (2010-15)	Vijay Kelkar	32 per cent
Fourteenth (2015-20)	Y.V. Reddy	42 per cent
Fifteenth (2021-26)	N.K. Singh	41 per cent
Sixteenth (2026-31)	Arvind Panagariya	41 per cent

The Fourteenth Finance Commission is the turning point. Y.V. Reddy raised devolution in one jump from 32 to 42 per cent - the largest increase ever - and ended the distinction between special and general category States for the purpose of devolution. The catch is that the jump came with a matching cut in centrally sponsored scheme funding, so the net gain to States was smaller than the headline suggested.

The States' share of the divisible pool



- The 15th FC brought the share down by exactly one percentage point, to 41 per cent.
- That one point was set aside for the newly created Union Territories of Jammu and Kashmir and Ladakh.
- The 16th FC has retained 41 per cent, so the States' share has been stable around 41-42 for a decade.
- The First Finance Commission was constituted in 1951 under K.C. Neogy; its award period was 1952-57.

YAAD RAKHO

Remember the recent ladder: 12th Rangarajan 30.5, 13th Kelkar 32, 14th Reddy 42, 15th N.K. Singh 41, 16th Panagariya 41. And note that N.K. Singh chaired BOTH the FRBM Review Committee and the 15th Finance Commission - that overlap is a favourite matching distractor.

The Fifteenth Finance Commission, 2021-26

This is the commission whose award was running until 31 March 2026. It was constituted on 27 November 2017, chaired by N.K. Singh, and it gave two reports - an interim one for 2020-21 and a final one for 2021-26.

ASKED IN RAS

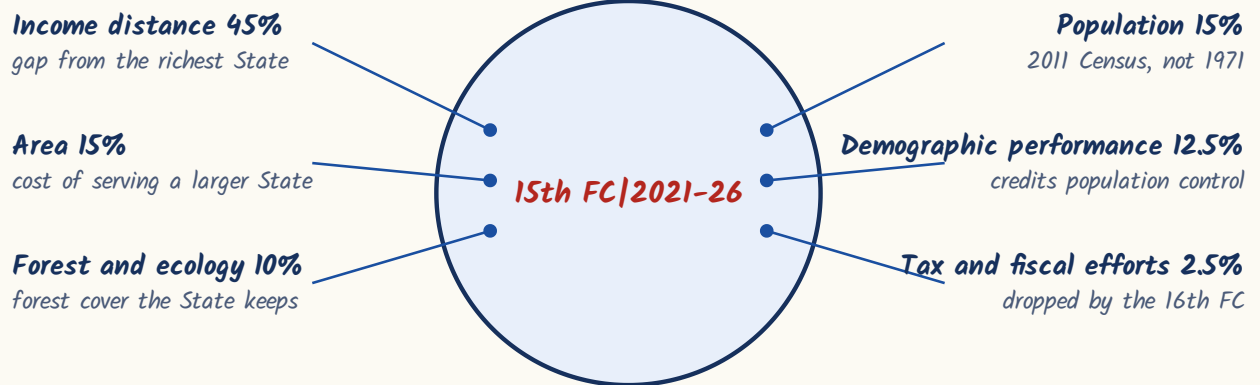
Asked in RAS Pre 2024 - the vertical devolution recommended by the Fifteenth Finance Commission for 2021-26? Answer: 41 per cent of the divisible pool. Remember why it is 41 and not 42 - one percentage point was carved out for the new UTs of J&K and Ladakh.

15th FC horizontal devolution - criteria and weights

Criterion	Weight
Income distance	45 per cent
Population (2011 Census)	15 per cent
Area	15 per cent
Demographic performance	12.5 per cent
Forest and ecology	10 per cent
Tax and fiscal efforts	2.5 per cent

Income distance carries the highest weight and it is the equalising criterion - the further a State's per capita income falls below the richest State's, the more it gets. Demographic performance was added to reassure the southern States that they were not being punished for having controlled population growth, since the Commission had been told to use the 2011 Census rather than 1971.

15th FC horizontal formula - the six criteria



- Revenue deficit grants of Rs 2,94,514 crore, for 17 States.
- Local government grants of Rs 4,36,361 crore - the Panchayat and Municipality channel under Article 280(3)(c).
- Disaster risk management grants of Rs 1,60,153 crore.
- A Modernisation Fund for Defence and Internal Security was also recommended.

15th FC fiscal deficit glide path for the States

Year	Ceiling as a percentage of GSDP
2021-22	4.0 per cent
2022-23	3.5 per cent
2023-24 to 2025-26	3.0 per cent
Extra allowance	0.5 per cent, linked to power sector reform performance

The Sixteenth Finance Commission - the live current affair

This is the highest-probability current-affairs item in the whole of Indian Economy for the December 2026 paper. The 16th FC's award period started on 1 April 2026, so the exam falls inside its first year. Learn the chairman, the members, the dates and the changed formula.

Sixteenth Finance Commission - the basics

Element	Detail
Constituted	31 December 2023
Chairman	Dr. Arvind Panagariya
Full-time members	Ajay Narayan Jha, Annie George Mathew, Niranjan Rajadhyaksha
Part-time member	Soumya Kanti Ghosh
Award period	2026-27 to 2030-31
Report submitted	17 November 2025, to the President
Tabled in Parliament	Along with the Union Budget 2026-27

15th FC vs 16th FC - horizontal criteria and weights

15th FC (2021-26)	16th FC (2026-31)
Income distance 45%	Income distance 42.5%
Population, 2011 Census, 15%	Population, 2011 Census, 17.5%
Area 15%	Area 10%
Demographic performance 12.5%	Demographic performance 10%
Forest and ecology 10%	Forest and ecology 10%
Tax and fiscal efforts 2.5%	Contribution to GDP 10% - new; tax and fiscal efforts dropped

- Vertical devolution is unchanged at 41 per cent - an option saying the 16th FC raised or cut the share is wrong.
- Revenue deficit grants have been discontinued - a clean break from every recent commission.
- The fiscal deficit ceiling for States is retained at 3 per cent of GSDP.
- The Commission asked for an end to off-budget borrowings by States, which had kept debt off the books.

CURRENT LINK

Current link, as of September 2026: the 16th Finance Commission's award has been in force since 1 April 2026, with States' share held at 41 per cent. The headline change is the entry of 'contribution to GDP' at 10 per cent as a new horizontal criterion and the dropping of tax and fiscal efforts. Expect a direct question on either the chairman or the new criterion.

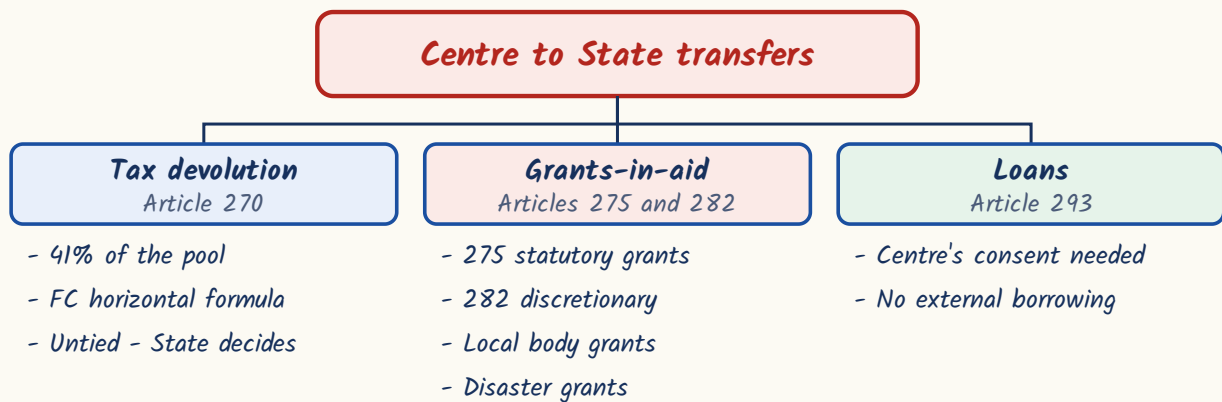
YAAD RAKHO

Remember the 16th FC formula as $42.5 - 17.5 - 10 - 10 - 10 - 10$: one big criterion, one medium, four tens. Set it against the 15th FC's $45 - 15 - 15 - 12.5 - 10 - 2.5$. Under the 15th, Population and Area were equal at 15; under the 16th they are not.

Grants, and borrowing by the States

Devolution is only one pipe. Money also reaches States as grants-in-aid, and States raise their own money by borrowing. Both are constitutionally fenced.

Three channels by which money reaches a State



Types of grants to States

Type	Basis	Nature
Statutory grants	Article 275, on FC recommendation	Charged on the Consolidated Fund of India
Discretionary grants	Article 282	At the Union's discretion, for any public purpose
Grants in lieu of jute export duty	Article 273	Assam, Bihar, Odisha, West Bengal
Revenue deficit grants	FC recommendation under Art 275	Fill the post-devolution revenue gap
Local body grants	Article 280(3)(c), through the FC	To Panchayats and Municipalities via the State
Disaster grants	FC recommendation	Contributions to SDRF and NDRF

Article 293 governs State borrowing. A State may borrow within India on the security of its Consolidated Fund. But the moment any loan from the Centre is still outstanding, or the Centre has guaranteed a State loan, the State cannot raise a fresh loan without the Centre's consent. Since almost every State has central loans outstanding, in practice the Centre controls State borrowing.

- States cannot borrow from abroad at all - external borrowing is a Union monopoly.
- Article 292 covers Union borrowing on the security of the Consolidated Fund of India, within limits fixed by Parliament.
- Article 360 provides for a Financial Emergency - never yet invoked in India.
- Off-budget borrowing by State entities has been the main way round the Article 293 limits; the 16th FC wants it stopped.

Schemes, the GST Council and cooperative federalism

After the Planning Commission went, the scheme architecture was rebuilt around two categories. Get the distinction right - it is a clean idea and RPSC has asked the sharing ratio directly.

Centrally Sponsored Schemes vs Central Sector Schemes

Centrally Sponsored Scheme	Central Sector Scheme
On State List or Concurrent List subjects	On Union List subjects
Cost shared between Centre and States	Fully funded by the Centre
Usual ratio 60:40 for general States	100 per cent central funding
90:10 for North-Eastern and Himalayan States; 100% for UTs without legislature	No State share at all
Implemented through State machinery	Implemented by central agencies
MGNREGA, PMAY, Samagra Shiksha	PM-KISAN, national highways, defence

- Centrally sponsored schemes were restructured after the 2015 report of the Chief Ministers' sub-group chaired by Shivraj Singh Chouhan.
- The three buckets are Core of the Core, Core, and Optional.
- Core of the Core includes MGNREGA, the National Social Assistance Programme, and the umbrella programmes for Scheduled Castes, Scheduled Tribes, minorities and other vulnerable groups.
- Article 282 is the constitutional basis that lets the Union fund schemes on State subjects at all.

The GST Council is the clearest case of shared sovereignty in Indian fiscal federalism. The States gave up their independent power to tax sales and the Centre gave up excise on most goods; what replaced both is a joint body in which the Centre holds one-third of the vote, the States two-thirds, and three-fourths is needed to decide. Neither side can act alone. The Supreme Court has held that the Council's recommendations are persuasive, not binding on either the Union or the States.

- Compensation was guaranteed for five years to 30 June 2022, at an assumed 14 per cent revenue growth over base year 2015-16.
- The compensation cess was extended to 31 March 2026 to service the back-to-back loans taken for the States.
- IGST is apportioned under Article 269A, so inter-State GST revenue never sits wholly with the Centre.
- NITI Aayog replaced the Planning Commission on 1 January 2015; the Prime Minister is its Chairperson.
- Its Governing Council has all Chief Ministers and the Lieutenant Governors of Union Territories.
- NITI Aayog is a think tank - it has NO power to allocate funds, unlike the Planning Commission.

CURRENT LINK

Current link, as of September 2026: the GST compensation window itself ended on 30 June 2022, and the compensation cess was levied only up to 31 March 2026 to service the back-to-back loans raised for the States - so 2026-27 is the first year of GST with neither compensation nor cess behind it. The rate structure States now share is the two-slab one that took effect on 22 September 2025: 5 per cent and 18 per cent, with 40 per cent on demerit and sin goods. Pair the two dates - 30 June 2022 for the guarantee, 31 March 2026 for the cess - because RPSC sets them as a matching pair.

- *Special Category Status finds no mention in the Constitution.*
- *It was introduced in 1969 on the Fifth Finance Commission's advice, under the Gadgil formula.*
- *It was granted by the National Development Council, not by the Finance Commission.*
- *Criteria: hilly and difficult terrain; low population density or sizeable tribal population; strategic international border location.*
- *Further criteria: economic and infrastructural backwardness, and non-viable State finances.*

TRAP

Special Category Status was granted by the National Development Council. Per capita income is NOT one of its criteria - options routinely slip it in. And remember that the 14th FC ended the special-versus-general distinction for devolution, without abolishing the status itself.

REVISION RECAP

1. Vertical imbalance is Centre versus all States; horizontal imbalance is among States.
2. Divisible pool excludes cesses, surcharges (Art 271) and the cost of collection.

3. 268 Union levies and States collect and keep; 269 assigned taxes; 269A IGST; 270 divisible pool; 271 surcharge, unshared.
4. 272 repealed by the 80th Amendment, 2000, on the 10th FC's recommendation - single divisible pool since.
5. 273 jute grants to Assam, Bihar, Odisha, West Bengal; 275 statutory grants; 276 professional tax ceiling Rs 2,500; 279 CAG certifies net proceeds; 282 discretionary grants.
6. Article 280 - Finance Commission, appointed by the President every fifth year, a Chairman plus four members; qualifications under the 1951 Act.
7. Art 280(3) duties: tax distribution, grants-in-aid principles, augmenting State funds for Panchayats and Municipalities, any matter referred by the President.
8. Art 281 - report plus action-taken memorandum laid before both Houses; the recommendations are advisory.
9. 1st FC K.C. Neogy 1952-57; 12th Rangarajan 30.5%; 13th Kelkar 32%; 14th Y.V. Reddy 42%.
10. The 14th FC also ended the special / general category distinction for devolution.
11. 15th FC - N.K. Singh, constituted 27 November 2017, interim report 2020-21, final 2021-26, devolution 41%.
12. 15th FC weights: income distance 45, population 15, area 15, demographic performance 12.5, forest and ecology 10, tax and fiscal effort 2.5.
13. 15th FC grants: revenue deficit Rs 2,94,514 crore for 17 States; local bodies Rs 4,36,361 crore; disaster Rs 1,60,153 crore.
14. State fiscal deficit glide path: 4% in 2021-22, 3.5% in 2022-23, 3% thereafter, plus 0.5% for power sector reform.
15. 16th FC - constituted 31 December 2023, Chairman Arvind Panagariya, award 2026-27 to 2030-31, report submitted 17 November 2025.
16. 16th FC weights: income distance 42.5, population 17.5, area 10, forest and ecology 10, demographic performance 10, contribution to GDP 10 (new).
17. 16th FC keeps 41%, drops tax and fiscal effort, discontinues revenue deficit grants, keeps the 3% GSDP ceiling.
18. Art 293 - a State needs the Centre's consent to borrow while any central loan is outstanding; States cannot borrow abroad.
19. CSS shared 60:40, and 90:10 for NE and Himalayan States; Central Sector Schemes are 100 per cent central, e.g. PM-KISAN.
20. Special Category Status - not in the Constitution, 1969, Fifth FC advice, Gadgil formula, granted by the NDC.